

do. They do not believe the intrinsic value of a stock or fund is separate, they believe all factors that could affect the stock have been 'priced in' to the stock price.

There are many ways to find out the 'intrinsic value' and compare it to its current price. The discounted cash flow method (DCF) is the most popular. It tries to work out the value based on projections of how much the company will generate in the future.

The calculation for this is:

$$DCF = \frac{CF_1}{1 + r^1} + \frac{CF_2}{1 + r^2} + \frac{CF_n}{1 + r_n}$$

where:

- CF is the cash flow for the given year
- CF_1 is for year one
- CF_2 is for year two
- CF_n is for additional years
- r is for the discount rate.

However, it's much easier to plug this into any online calculator.

Active investors believe that, sometimes, if a company's price drops (e.g. after bad news) it's only a temporary drop and therefore they can purchase the stock on sale. Let's say you want to invest in Boeing after some bad news about the company came out, and you believe that it has temporarily dropped in price.

The stock price is \$200 but the DCF method shows you the intrinsic value is \$210. This means you've found a company on 'sale' so you purchase it, knowing you've scored yourself a bargain.